

The new money layer: five insights into the future of stablecoins

KEARNEY

Digital assets are emerging from a retail novelty to the financial infrastructure of the future. The trajectory is clear, and stablecoins—fiat-pegged digital currencies—are at the forefront of this revolution.

Distributed ledger technology has been generating headlines for more than a decade, even though there have been a limited number of use cases. But now, that's poised to change. Stablecoins—blockchain-based tokens issued by regulated private entities—could take digital assets into the financial and corporate mainstream.

Stablecoins' value is typically pegged to a government-issued currency, most commonly the US dollar. Unlike cryptocurrencies such as Bitcoin or Ethereum, Stablecoin's price stability is maintained by private issuers that hold equivalent reserves in highly liquid, low-risk assets, often short-term US Treasuries or cash. Stablecoins are distinct from central bank digital currencies (CBDCs), which are legal tender of money issued directly by central banks.

Unlike other cryptocurrencies, stablecoins offer a unique combination of open interoperability, settlement flexibility, and integration with decentralized ecosystems—features that position stablecoins as a foundational layer for programmable, instant-value exchange (see figure 1).

Figure 1
Stablecoins offer a unique value proposition for cryptocurrency

Characteristic	Why is it important?
Atomic settlement	Faster transaction settlement reduces counterparty risks and eliminates intermediaries.
Low transaction costs	Cheaper transactions foster financial inclusion and unlock new cross-border use cases.
Transparency and traceability	Increased visibility reduces information asymmetries and helps automate reconciliation.
Programmability	Smart contract programmability enables new payment innovations and creative use cases.

Source: Kearney analysis

The features of stablecoin

One key feature of stablecoins is atomic settlement, which allows for real-time finality without counterparty risk. Delays and reconciliation issues in traditional settlement are estimated to cost financial institutions up to $15 billion a year in lost liquidity, failed trades, and operational inefficiencies.

Stablecoins can also dramatically reduce transaction costs. In 2023, global remittance fees averaged 6.2 percent, reaching even higher in parts of Africa and South Asia. Cross-border interbank wires often incur charges of between $20 and $80, not including hidden foreign exchange (FX) markups. Conversely, stablecoin transaction fees on scalable blockchains can be as low as a few cents, making them particularly compelling for international money flows that require several intermediaries, which can drive up costs.

In addition, each stablecoin movement is publicly recorded and auditable in real time, enabling transaction transparency and traceability to support robust compliance, anti-money laundering efforts, and cross-border regulatory monitoring. This contrasts sharply with the opacity of legacy correspondent banking chains. Institutions can also layer additional compliance protocols into on-chain transactions, including address screening and geofencing, ensuring alignment with local and international regulatory frameworks.

The programmability of stablecoins is perhaps most transformative. Unlike static money formats, stablecoins can be integrated with smart contracts that embed conditional logic, unlocking new automation capabilities for treasury, payments, and capital markets. In trade finance, for example, funds can be released automatically upon confirmation of goods shipment. In treasury, stablecoins allow CFOs to program automatic liquidity rebalancing across subsidiaries. In insurance, parametric policies can use oracles to trigger payouts autonomously, cutting down on processing delays and disputes.

These advantages are fueling a surge of stablecoin adoptions. Payment giants such as Visa and Mastercard are piloting stablecoin settlement rails; banks such as JPMorgan, BBVA, and Santander have announced plans to issue their own stablecoin; and payment service providers (PSPs) such as PayPal and Stripe are integrating stablecoins into their core suite of services. These developments reflect a broader shift, as stablecoins evolve from retail novelty to institutional-grade financial instruments.

To shed light on this shifting landscape, we offer five insights into the future of stablecoins and how they could shape the next era of financial infrastructure.

Each stablecoin movement is publicly recorded and auditable, enabling transaction transparency and traceability.

1. Stablecoins go institutional in 2025

After more than a decade of experimentation and volatility, stablecoins are entering a new phase of maturity defined by large-scale institutional engagement. As of mid-2025, the total stablecoin market capitalization has surpassed $ 250 billion, with annual on-chain transaction volumes exceeding $25 trillion, placing stablecoins on par or above some of the world's largest global payment networks. In comparison, Visa and Mastercard process $15 trillion and $10 trillion a year respectively, and it took them more than 50 years to reach those levels. Stablecoin's rapid scale-up of real economic activity reflects not only technological readiness but also institutional stakeholders' shifting attitudes.

A wave of strategic moves by financial and technology heavyweights over the past 12 months signals a structural shift in the adoption curve (see figure 2). Stripe's acquisition of Bridge and Privy, two key players in the wallet and digital identity space, demonstrates a commitment to integrating stablecoin infrastructure natively into commerce platforms. Worldpay's partnership with BVNK enables global payouts across more than 180 markets. Meanwhile, Circle's IPO success underscores long-run market expectations around the institutional monetization of stablecoins and the expansion of regulated, fiat-backed issuance. These moves reflect a consensus that's forming across capital markets, payment providers, and technology platforms: the stablecoin thesis has moved from speculative to strategic.

As a result, rather than questioning the relevance of stablecoins, financial institutions are exploring how they can be used, monetized, and integrated into their core infrastructure. Banks are evaluating stablecoins for wholesale settlement, cash management, and cross-border payment solutions. Fintechs are embedding them into retail wallets and B2B platforms. And PSPs are exploring them as a lower-cost alternative to card rails, particularly in underbanked or high-fee markets.

Figure 2
More institutional players are moving into the stablecoin space

Buy	Stripe	+	Bridge Privy	→	Stripe acquired Bridge (a stablecoin API platform) and Privy (for embedded stablecoin wallets).
	MoonPay	+	Iron	→	MoonPay acquired Iron (a stablecoin API platform).
Partner	Visa	+	Bridge	→	Visa partnered with Bridge for stablecoin-linked credit cards.
	Worldpay	+	BVNK	→	Worldpay partnered with BVNK for global stablecoin payouts.
Build	Coinbase	→	Coinbase has built a standard for agentic commerce with its x402 protocol.		
	Fiserve	→	Fiserve launched its own US dollar-backed stablecoin, FIUSD.		

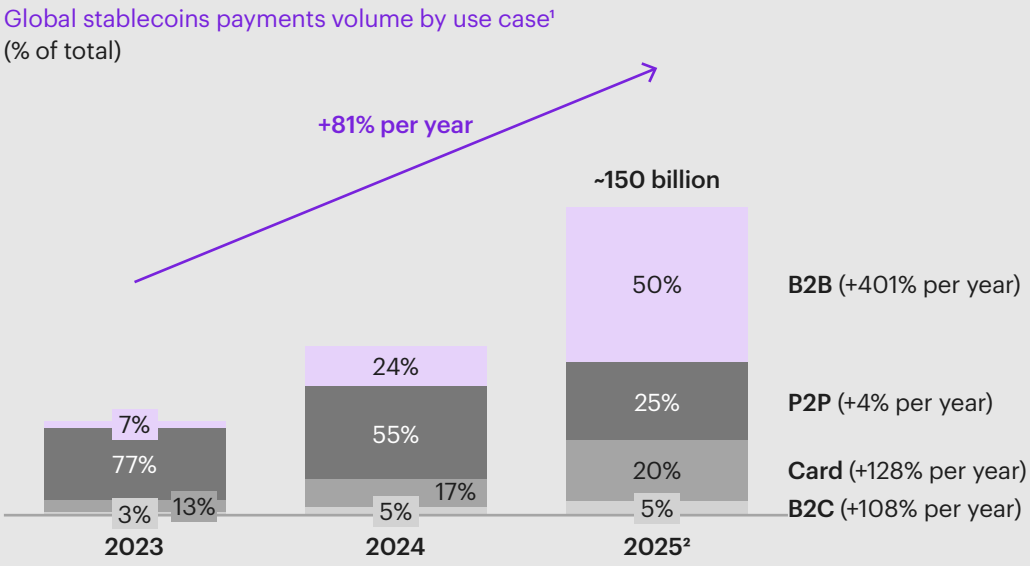
Source: Kearney analysis

What makes 2025 pivotal is not only the scale of capital and transactional volume, but also the alignment of infrastructure, regulation, and market readiness. Jurisdictions such as the UAE, Singapore, the UK, the EU, and now the United States already give issuers licensing paths, capital thresholds, and disclosure duties. July 2025 added a global linchpin: the US GENIUS Act, which for the first time creates a harmonized federal set of rules for US dollar-pegged stablecoins. By mandating onshore issuance, audited cash-and-T-bill reserves, and quarterly reporting, it delivers clarity, unlocks a safer innovation runway for banks and fintechs, and further entrenches US-dollar primacy in digital finance.

2. Payments power the next wave of adoption

So far, stablecoins have mostly been used in crypto-native environments, namely for trading on centralized and decentralized exchanges. Trading still accounts for more than 95 percent of global stablecoin transaction volumes, creating the perception that stablecoins are niche financial instruments tied to speculative crypto activity. However, this narrative is shifting: payments are now the fastest-growing application of stablecoins, thanks to the convergence of infrastructure maturity, corporate interest, and clear value propositions in real-world financial flows (see figure 3).

Figure 3
Payments are emerging as the fastest-growing application for stablecoin



[1] Excludes stablecoin volume related to trading (+95% of total volume)
[2] Annualized based on February 2025 monthly data
Sources: Stablecoin Payments from the Ground Up, Artemis, 2025; Kearney analysis

Stablecoins are increasingly being used to facilitate four high-impact payment use cases:

— **B2B payments,** including vendor and supplier disbursements, cross-border invoicing, and institutional collateral transfers

— **P2P payments,** such as international remittances and wallet-to-wallet transfers

— **Card-linked payments,** where users can spend stablecoins from a debit or credit card

— **B2C payments,** particularly for payroll and freelancer compensation

Each of these use cases addresses a specific unmet need in the payments landscape, particularly in cross-border contexts where settlement is slow, costs are high, and intermediaries restrict transparency. Addressing the pain points has fueled rapid adoption and is leading a growing number of fintechs to develop stablecoin-based products (see figure 4).

Figure 4
Stablecoins can address a variety of pain points in the payments landscape

	B2B payments	P2P payments	Card payments	B2C payments
Key applications	— Vendor payments — Supplier disbursements — Cross-border invoicing — Collateral transfers	— Remittances — Wallet-to-wallet transfers — Domestic + cross-border	— Spending stablecoins via cards — Linked to digital wallets or exchanges	— Payroll disbursement — Paying freelancers or gig workers
Problems and constraints	— Expensive SWIFT fees — Slow settlement times — Poor transparency	— High remittance costs — Long transfer delays — Unbanked population	— Low acceptance of crypto in real world — On-ramp and off-ramp friction	— Payroll inefficiency for global teams — Currency volatility
Examples	**Conduit** Provides a unified API and platform that enables businesses to make near-instant, low-cost cross-border B2B payments **Beam.** Offers an all-in-one payments and treasury platform that lets businesses seamlessly move between crypto and fiat, automate invoicing, and manage funds	**Sling** Delivers a self-custodial, wallet-based app allowing users to instantly send and receive stablecoin payments globally **Binance Pay** Enables instant, free, and frictionless peer-to-peer stablecoin payments worldwide, reducing settlement times and costs	**Crypto.com** Issues Visa cards that let users spend USDC and other cryptocurrencies directly at merchants, leveraging blockchain-based USDC settlements **Wirex** Provides a multi-currency Mastercard-linked crypto card, allowing users to spend from 19 crypto and fiat accounts, earn crypto rewards, and enjoy seamless conversion	**Bitwage** Operates a global payroll platform that allows companies to pay employees and freelancers in stablecoins **Request Finance** Offers a comprehensive finance app for businesses and freelancers to manage invoicing, payroll, and expenses, enabling compliant, instant USDC payments

Source: Kearney analysis

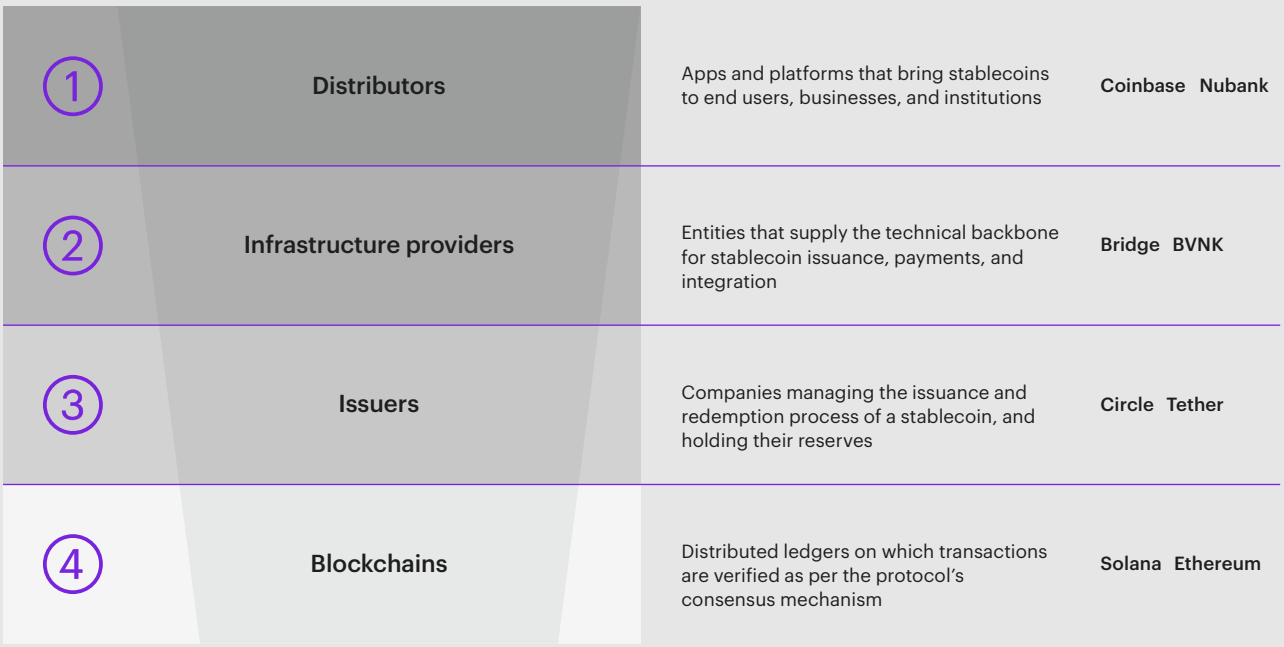
One nascent use case that's poised for explosive growth is agentic commerce that combines the power of stablecoins and AI. Although adoption in e-commerce is still in its infancy, many leading platforms such as Amazon, eBay, and Shopify have all announced plans to integrate stablecoins. Coinbase recently announced the release of the x402 protocol, which introduces a powerful enabler for agentic payments. The protocol allows for direct stablecoin transactions from user wallets to merchants without intermediaries or third-party checkout systems. This unlocks a new paradigm, which is particularly relevant for autonomous AI agents that conduct transactions on behalf of users or systems, such as restocking inventory, paying for SaaS, or purchasing datasets.

3. Distribution is the engine of value creation

In a simplified form, the stablecoin value chain consists of four interdependent roles (see figure 5).

While stablecoin issuers such as Circle and Tether have grown their revenue by minting tokens and earning yield on the outstanding float, the value capture is moving upstream toward distribution. These are the players with the trusted user interface, regulatory licenses, and financial products that wrap stablecoins in practical use cases that are ultimately making them mainstream. Although any company can issue a stablecoin, an emerging strategic play is to partner with trusted issuers and orchestrators to focus on customer acquisition, product innovation, and user engagement.

Figure 5
Value capture is moving upstream through four roles in the stablecoin value chain



Source: Kearney analysis

We are already seeing this play out in the market. Rather than issue its own stablecoin, NuBank, Latin America's largest digital bank, allows its more than 90 million users to hold US dollar-backed stablecoins, earn yield, and make cross-border payments, all wrapped in a trusted banking app. Issuers are also adapting to this new reality. Circle's launch of the Circle Payments Network signals a pivot from issuer to full-stack payments platform, an attempt to extend beyond treasury reserves management and capture downstream value. This presents a sizable opportunity for financial institutions and PSPs to enter the emerging digital assets space by leveraging their existing client base and distribution while limiting investments and shortening the time to market.

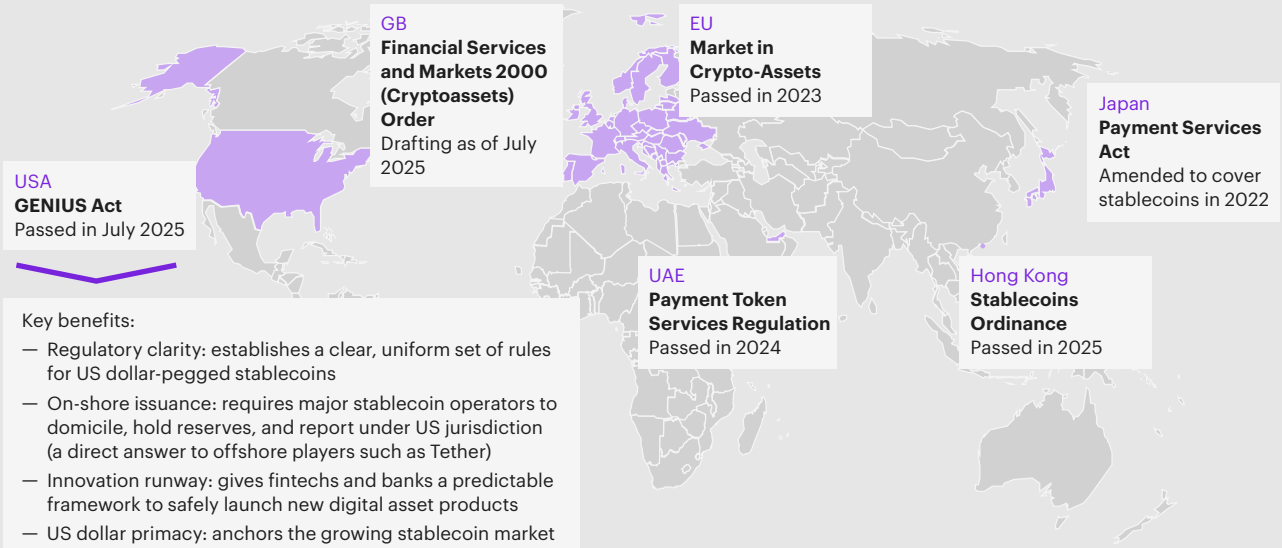
4. Local stablecoins will unlock more use cases

Although US dollar-backed stablecoins such as USDT still dominate the market, collectively accounting for more than 95 percent of circulating stablecoin value, non-US-dollar stablecoins are emerging as critical enablers of domestic and regional payments. In many jurisdictions, including the UAE, Singapore, the EU, and Hong Kong, regulatory clarity, monetary stability, and high trade interconnectivity are creating fertile ground for stablecoin innovation beyond the dollar (see figure 6).

Figure 6
Stablecoins are gaining legitimacy, supported by regulatory efforts

Non-exhaustive

Development of global regulatory frameworks



Key benefits:

- Regulatory clarity: establishes a clear, uniform set of rules for US dollar-pegged stablecoins
- On-shore issuance: requires major stablecoin operators to domicile, hold reserves, and report under US jurisdiction (a direct answer to offshore players such as Tether)
- Innovation runway: gives fintechs and banks a predictable framework to safely launch new digital asset products
- US dollar primacy: anchors the growing stablecoin market to US dollar reserves, reinforcing the dollar's role as the world's reserve currency

Sources: Bank for International Settlements, Financial Stability Board, Monetary Authority of Singapore, Hong Kong Monetary Authority, Congress.gov; Kearney analysis

This shift is both inevitable and necessary. Although still the dominant currency in global trade and capital markets, the US dollar's use in regional or domestic payments often introduces unwanted FX exposure, legal complexity, and operational friction. For example, a non-US business paying its suppliers in the same country in US dollars still incurs FX spreads and regulatory compliance burdens, even when both parties transact in the same native currency. Non-US-dollar stablecoins eliminate this inefficiency, enabling near-instant, local-currency digital payments with the same programmability and composability as their dollar-backed counterparts. In the case of regional trade, this can be particularly relevant for corridors with high-volume cross-border flows, such as between the Middle East and the Indian subcontinent.

As stablecoins gain traction, they can also facilitate the formation of on-chain FX markets, allowing entities to swap digital currencies programmatically and at a lower cost. Unlike today's fragmented FX ecosystem, where spreads, intermediaries, and delays inflate costs, an on-chain FX market using stablecoins could offer real-time, transparent, and disintermediated currency exchange, a major benefit for corporations, treasurers, and cross-border platforms.

Regulatory clarity is proving to be the primary catalyst for this evolution. The jurisdictions moving fastest to define stablecoin rules are already attracting issuers, orchestrators, and financial institutions eager to experiment and scale. A case in point is the UAE, which in June 2024 issued its Payment Token Services Regulation, the first comprehensive framework in the Middle East for regulating local fiat-referenced tokens (stablecoins). Issuers must be licensed and meet strict reserve, redemption, and reporting standards, creating a clear legal path for both bank-issued and fintech-issued stablecoins. Singapore's Project Orchid, the EU's Markets in Crypto-Assets Regulation, and Hong Kong's upcoming stablecoin licensing regime reflect similar momentum toward formalizing stablecoin activities under financial supervision. The United States, India, Saudi Arabia, and many other countries are expected to follow suit in the coming year.

As regional stablecoins proliferate, use cases will expand into treasury, trade finance, and other key verticals that can benefit from low-cost and real-time settlement. For PSPs, banks, and corporations, this opens the door to more localized, efficient, and compliant payment models that reduce reliance on the US dollar, especially where it adds complexity without adding value.

5. Stablecoins will grow 10x but are not a one-size-fits-all solution

The trajectory for stablecoins is exponential rather than linear. Over the next several years, stablecoins are poised to grow 10x in market capitalization, fueled by deeper integration across major financial and payment platforms and growing institutional acceptance. What was once a fringe innovation confined to crypto exchanges is now rapidly becoming a core component of global financial infrastructure.

Two interlocking forces are fueling this acceleration:

— **Distribution scale.** Mainstream PSPs such as Visa, Mastercard, Worldpay, and Stripe are rolling out stablecoin-based settlement and payout capabilities, integrating stablecoins as live rails for cross-border payments, merchant settlement, and treasury disbursement.

— **Institutional trust.** Traditional financial institutions are entering the stablecoin economy, either by issuing their own fiat-backed tokens (for example, JPMorgan's JPM Coin, and Société Générale's EURCV) or integrating regulated third-party stablecoins into client offerings.

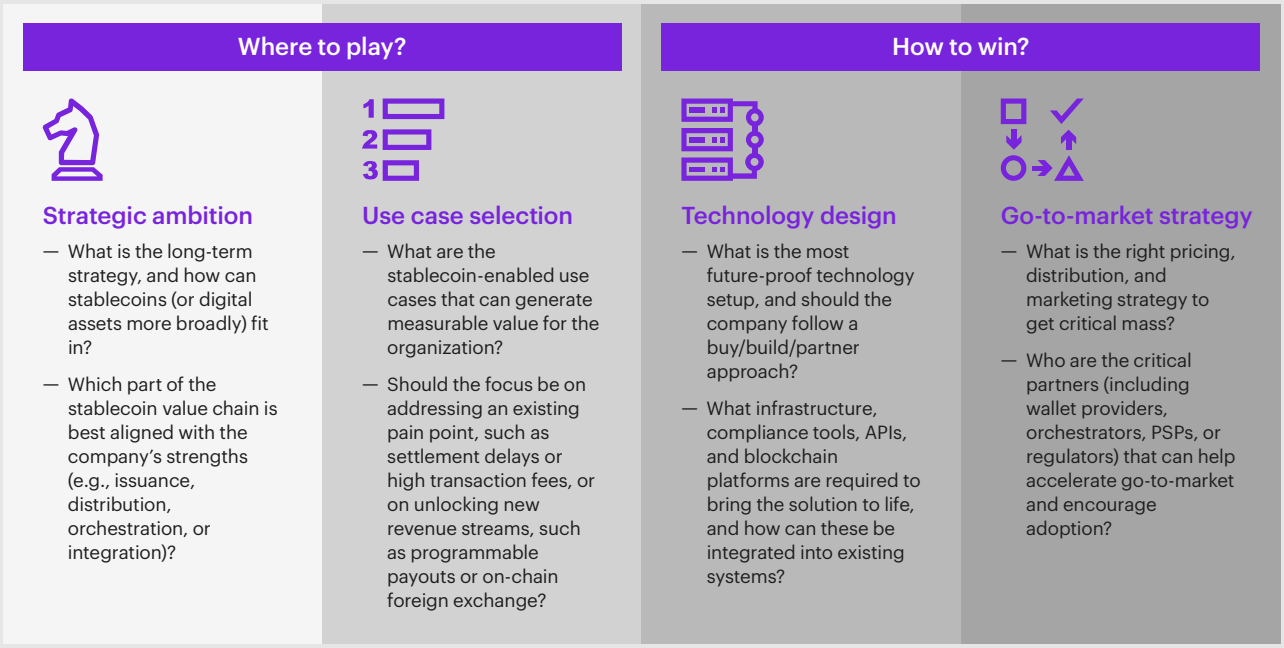
These dual entry points are creating the conditions for stablecoins to evolve from a $250 billion market to a multitrillion-dollar asset class over the next few years. However, stablecoins are not a one-size-fits-all solution, and they won't replace traditional rails across the board. Adoption will be selective and complementary, depending on the specific use case. For example, in many low-value domestic transactions, instant payment networks are still more efficient and cost-effective than on-chain payments, especially where interoperability and fee structures have already been optimized. In large-value or interbank settlement scenarios, CBDCs and tokenized deposits may offer stronger central bank guarantees and more familiar regulatory frameworks. In other words, stablecoins will coexist, not compete, with a spectrum of digital and legacy payment systems. That being said, their programmability and composability are more than a technical upgrade and could unlock new financial primitives and use cases.

A four-pronged decision-making framework

More than a technological evolution, stablecoins represent a fundamental shift in the way value is stored, transferred, and monetized across financial systems. As this new money layer gains traction, forward-thinking organizations across banking, payments, and capital markets are redefining their digital asset management strategies to explore stablecoins as a new payment rail, a tool for treasury innovation, or an enabler for agentic commerce. Common success factors include focusing on use cases that address real customer needs, seamless integration into existing systems, and diligent implementation in a multi-stakeholder environment.

Our decision-making framework addresses four core components of an effective stablecoin offering (see figure 7).

Figure 7
Kearney's decision-making framework helps companies develop a winning stablecoin offering



Source: Kearney analysis

In this expansive landscape of opportunities, forward-thinking organizations are recognizing and planning for the associated risks. Our balanced, risk-aware approach to stablecoin implementation helps companies pull the right governance, controls, and mitigation levers:

Custody risk. Choosing between custodial versus non-custodial models requires making some trade-offs in user control, regulatory exposure, and cyber-risk. Custody design must account for wallet security, key management, and user protection, especially in light of past breaches.

Instant settlement and reversibility. The atomic nature of stablecoin transactions introduces challenges around fraud, chargebacks, and dispute resolution. Real-time fraud monitoring and transaction-level conditionality will be essential to protecting consumers.

Tools for compliance, anti-money laundering (AML) and know your customer (KYC). Given the pseudo-anonymity and decentralized nature of cryptocurrencies, stablecoin participants must adopt the required AML/KYC tools to prevent money laundering and ensure regulatory compliance.

Charting the way into the future of payments

Stablecoins have claimed their space in the global payments landscape, and it's clear they are here to stay. PayPal is pushing PYUSD onto Stellar to power e-commerce and remittance flows; Société Générale's USD CoinVertible will be the first US dollar-pegged token from a G-SIB bank; Mitsubishi UFJ is preparing a yen coin under Japan's new stable-asset statute; Standard Chartered and partners are vying to mint an HK-dollar stablecoin under Hong Kong's VASP regime; and Australia's ANZ is already using A$DC in cross-border pilots across Asia Pacific. What's fueling this "stablecoin goldrush" is the convergence of clearer rulebooks; merchants demanding sub-second, low-fee settlement; and banks and tech giants scrambling to defend payments revenue. For decision-makers, the message is clear: move now or lose out on the next generation of money.

Navigating the stablecoin landscape demands not only technical literacy but strategic clarity and operational foresight. At Kearney, we combine deep financial expertise, hands-on digital fluency, and a global ecosystem view to help our clients lead in this next wave of innovation.

Stablecoins have claimed their space in the global payments landscape.

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